The second problem is that each crisis is different. All bank failure is alike, which enables process manuals for banking supervision. But each macroeconomic/financial crisis is different. [6] This hampers the development of manuals. The long and slow process of refinement of institutional capacity does not come about when dealing with crises. The policymakers can have some concepts and principles, but no tangible recipe for action.

> *Events, dear boy, events.*
>
> Response by UK prime minister Harold Macmillan when a journalist asked what is most likely to blow governments off course

At the same time, mere tactical, day-to-day responses do not suffice in crisis management. A coherent intellectual framework of economic policy is required, through which facts are parsed, a strategy is established, and day-to-day decisions are made. Only when such a coherent framework is present can a large number of practical decisions—spread across time and across individuals—be rendered coherent. If policymaking degenerates into a series of tactical battles, there is no strategy, and this will work poorly. [7]

Given the weakness of institutions in India, the response to a macroeconomic/financial crisis is primarily about the key individuals who are in place and their intellectual framework. Economic policy at such times requires people who have been carved by institutions and experience for such a moment. A coalition of persons at the key policymaking institutions needs to come together. This requires a combination of intellectual capacity, a culture of brain-storming and problem solving, and trust. [8]

Knowledge institutions are particularly valuable in a crisis environment. Under normal circumstances, if the task at hand is supervising a bank, this fits in fine with the process manual, and the role of knowledge institutions is limited to reviewing the process manual and helping to strengthen it. In crisis management, in contrast, conceptual knowledge about the working of the system is required. In India, this generally resides at knowledge institutions.